

We mourn the loss of the President of the State Central Bank in Bavaria and member of the Central Bank Council Kurt Stadler on January 18, 1979 of the former member of the Board of Directors and the Central Bank Council Dr. Erich Zachau t November 18, 1978 the former President of the State Central Bank in Bremen and member of the Central Bank Council Dr. Hermann Tepe t September 18, 1978 and the employee Heinrich Grundmann t 18. 1. 1978 Helga Wenzl t 28. 7. 1978 Albrecht Dies t 20.1.1978 Manfred Koch t 29. 7. 1978 Josef Rode t 23. 1. 1978 Leonhard Brodka t 8/9/1978 Christa Scheffner t 2/24/1978 Ferdinand Maring t 8/9/1978 Karl Heinz Krause t 2/26/1978 Richard Trees t 8/22/1978 Josef Wittendorfer t 3/10/1978 Bernd Dengel t 9/18 1978 Charlotte Spöringer t March 22, 1978 Robert Heim t 6. 10. 1978 Arnold to Berens t 2.4.1978 Heinrich Bauer t 7. 10. 1978 Martin Kuhefuß t 3. 4. 1978 Heinrich Brinkmeier t 17. 10. 1978 Heinrich Sprungmann t 6. 4. 1978 Siegfried Neufang t 20. 10. 1978 Helga Woisetschläger t 22. 4. 1978 Gerhard Pensky t 2. 11. 1978 Margarete Ulrich t 16.5.1978 Walter Klöckner t 9. 11. 1978 Kurt Melzer t 24. 5. 1978 Franz Theis 11/16/1978 Elisabeth Brenner 5/31/1978 Kari-Heinz Müller 12/9/1978 Lieselotte Krawietz 6/29/1978 Wilhelm Korn 12/11/1978 Rudolf Kothe 7/15/1978 Karl Lindel t December 29, 1978 We also remember the former members of the bank and the former Deutsche Reichsbank who died in 1978. DEUTSCHE BUNDESBANK is certainly an honorable memory of all of them

Members of Dr. Otmar Emminger, Chairman of the Central Bank Council Central Bank Council Karl Otto Pöhl, Deputy Chairman of the Central Bank Council of Deutsche
Dr. Julia Dingwort-Nusseck Bundesbank in the Prof. Fritz Duppre financial year Dr. Hans Georg Emde 1978 Dr. Leonhard Gleske Werner Gust (until February 28, 1978) Dr.
Alfred Härtl Hans Hermsdorf Dr. Dieter Hiss (from March 1, 1978) Dr. Heinrich Irmeler Prof. Dr. Norbert Kloten Prof. Dr. Claus Köhler Werner Lucht (until February 28, 1978)
Dr. Kurt Nemitz Dr. Helmut Schlesinger Dr. Johann Baptist Schöllhorn Dr. Paul Schütz Kurt Stadler Ottomar Werthmöller (from March 1, 1978) Hans Wertz

On April 1, 1979, members of the Board of Directors of the Deutsche Bundesbank included the Board of Directors of the Deutsche Bundesbank and the Board of Directors Dr. Otmar Emminger, President of the German Federal Bank of the State Karl Otto Pöhl, Vice President of the German Central Bank Central Banks Dr. Hans Georg Emde Dr. Leonhard Gleske Dr. Heinrich Irmeler Prof. Dr. Claus Köhler Dr. Helmut Schlesinger Ottomar Werthmöller the board of directors of the state central banks in Baden - Prof. Dr. Norbert Kloten President Württemberg Dr. Volkhard Szagunn Vice President Helmut Holzmaier Bayern Herbert Zimmer Vice President Dr. Walter Gulden Berlin Dr. Dieter Hiss President Dr. Werner Tratzsch Vice President Bremen Dr. Kurt Nemitz President Joachim Treskow Vice President Hamburg Hans Hermsdorf President Gerhard Jennemann Vice President Hesse Dr. Altfred Härtl President Prof. Dr. Dr. Adolf Hüttl Vice President Walter Kulla Lower Saxony Dr. Julia Dingwort-Nusseck President Dr. Gerhard Hauptmann Vice President North Rhine- Hans Wertz President Westphalia Helmut Röthmeier Vice President Edgar Krug Rhineland- Prof. Fritz Duppre President Palatinate Ernst Adamski Vice President Saarland Dr. Paul Schütz President Dr. Herwald Schmidt Vice President Schleswig- Dr. Johann Baptist Schöllhorn President Holstein Erich Lange Vice President

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I. Economic development and central bank policy In 1978, the Bundesbank pursued a monetary policy course that attempted to meet several objectives at the same time. On the one hand, it was aimed at facilitating the development of the economic upturn in the Federal Republic from the monetary side in order to improve the chances of a high level of employment and thus also of a reduction in unemployment. On the other hand, the Bundesbank had to be careful not to go so far with monetary relief that this created additional scope for price and cost increases. Measured against these macroeconomic objectives, the result for 1978 appears to be quite satisfactory. After a weak start, partly influenced by harsh winter weather and labor disputes, the economy picked up across the board over the course of the year. It derived its decisive impetus from domestic demand, while external stimuli were limited, in contrast to previous upswing phases. In the end, total production - measured in terms of real gross national product - reached the target originally set for 1978 with an increase of 3,112 Ofo. As the economy strengthened, the labor market climate also noticeably improved: the number of employed people increased again for the first time since 1973; This absorbed the access of new people entering working life and made it possible to reduce unemployment.

Despite the economic recovery, which was particularly strong in the second half of the year, and the approaching capacity limits in some important sectors of the economy, price developments were quiet for much of last year. With the exception of the hardware store, price increases in 1978 were again lower than in the previous year. Industrial producer prices increased by only 1.3 ofo on average over the year, and consumer prices rose by 2.6 ofo; These were the lowest inflation rates since the late 1960s. The slowdown in price increases was determined by a number of influences that are unlikely to repeat themselves any time soon - such as the strong appreciation of the German mark and falling agricultural prices. However, the progress in stabilization would not have been achieved if wage policy decisions had not been made that took these tendencies into account.

When assessing monetary developments in the past year, it must be taken into account that the Bundesbank's scope for action in monetary policy was at times significantly restricted by foreign trade events. Both at the beginning of the year and in the autumn of last year, new currency turbulences, which were associated with a bout of weakness in the US dollar and partly also with tensions in the European exchange rate association ("little queue"), led to a rapid increase in the value of the German mark on the international foreign exchange markets. In order to slow down the exchange rate movement, which went far beyond the price and cost difference between foreign countries and the Federal Republic, and at the same time to mitigate the economic dampening effect of an excessive appreciation, the Bundesbank felt compelled to do so.

to remove significant amounts of foreign currencies from the market, and as far as the weakness of currencies in the European Exchange Rate Association was concerned, it was also obliged to do so. Under these conditions, the Bundesbank also had to stick to a relatively light monetary policy internally. Both - the high inflows of money from abroad and the line of monetary policy at home - caused an expansion of the money supply in the Federal Republic, which went considerably beyond the Bundesbank's original money supply target for 1978. As long as the economy was still relatively flat, as was the case in the early part of last year, and the strong appreciation of the DM itself slowed down domestic price and cost developments. could the stronger expansion of liquid assets at home be accepted, and tightening the monetary brakes would probably have had a negative effect on the overall economy during this time. After the economic upswing gained noticeably in the second half of 1978 and the upward movement of the D-Mark did not continue after the monetary policy measures taken by the United States in November last year, but was replaced by a slight weakness in the foreign exchange markets, the Bundesbank had to set stricter standards for its own policy again. It made this clear when it announced a new monetary target for 1979 in mid-December last year. It underlined this decision with a simultaneous reduction in the credit institutions' rediscount quotas. Since then, it has further reduced bank liquidity; she affirmed

2 finally this turnaround in their policy by raising the discount and Lombard rates. The Bundesbank is trying to do its part to ensure the continued development of the economy. Maintaining the price stability that has almost been achieved after difficult years and with some sacrifices is an essential prerequisite for this.

1. Economic revival over the course of the year. Increase in the real economic activity in the Federal Republic of Germany increased significantly over the course of 1978 gross national product. After the first months B.C. J. Goods production was noticeably affected by labor disputes in the metal industry and the printing industry and by loss of production growth targets in the construction industry as a result of the relatively harsh winter. The economic upturn took hold again before the middle of the year. Since then, production has increased significantly. In the annual result for 1978, the real gross national product exceeded the previous year's level by 31f20/o.

Differentiated However, the development in the individual economic sectors in 1978 - as in previous years - remained very differentiated. The construction industry recorded a particularly pronounced economic upswing. Production here in 1978 - despite growing staff shortages - exceeded the previous year's result by 71/20/o.

In contrast, the expansion of production in manufacturing remained below average in 1978 (+20/o). Some sectors of industry (chemical industry, iron-making industry), which had still been very much in the economic shadows in 1977, were able to catch up significantly. Other industries, especially those that faced particularly tough competition from foreign suppliers due to the increased external value of the D-Mark on domestic and foreign markets - e.g. B. the textile and clothing industry as well as the precision mechanical and optical industries - were, however, unable to maintain the production level of the previous year in 1978. In the first few months of 1979, overall economic production probably did not initially increase, or at least not increased significantly, due to the influence of the unusually harsh winter.

1976 to 1978 annually Since the recession year of 1975, the real gross national product of the Federal Republic has grown by an annual average of 3.7% per year. However, it should be taken into account that the growth per capita of the resident population has decreased slightly in recent years. Calculated per capita - this is a better indicator of the development of the population's standard of living than the national product itself - the expansion of domestic production for the last three years amounted to 40/0 per year; This is considerable growth, both in comparison to time and internationally. In the OECD countries as a whole, the real gross domestic product per capita in 1976/78 was only around 31/20 per capita. a. increased. In the 1960s, however, the real gross domestic product per capita in the Federal Republic of 3112% per year increased less strongly than the average for all OECD countries (4%). In 1978, especially in the second half of the year, the production of goods rose slightly more than the production potential; This was already the case in 1976, but not in 1977. The production potential, which is intended to express the overall economic production possibilities with "normal" utilization of all production factors, is estimated to have grown by 30/0 per year between 1976 and 1978. In 1978 it was probably used at slightly more than 97% of normal capacity compared to just under 950/o in 1975. However, behind the overall economic average value for 1978 there were quite different conditions in individual economic sectors. For example, while the automotive industry operated at practically full capacity throughout the year and the construction industry quickly approached full capacity over the course of the year, among other things, There was still unused capacity in shipbuilding, the steel industry and parts of the capital goods industries in 1978, although the level of utilization increased in some cases here too. Of course, it is not possible to measure economically usable capacities in economic sectors with structural sales problems with any degree of accuracy. Undoubtedly, there are sectors which, given the current level of exchange rates and the cost situation domestically, are no longer competitive, at least with regard to certain products, and for which a reduction in capacity is therefore unavoidable. In these sectors, the extent of the physically available production capacity - viewed in itself - does not mean much, because only the systems that can be used economically in the medium term given the given cost and price ratios are realistically included

3 of the production potential. The statistical possibilities only allow us to approximate the closures that occur due to long-term shrinkage tendencies of physically still existing ones, i.e. h. systems that have not yet been "scrapped" but can no longer be used economically must be taken into account.

Production per hour worked in the Federal Republic increased by almost 4 percent in 1978. Productivity progress remained roughly at the same level as the previous year. However, it appears that its pace has generally slowed in recent years due to underutilization, having increased over the past six years.

In the 1900s - apart from cyclical fluctuations - it remained remarkably constant at just over 5 o/o per year. There are several reasons for this. On the one hand, it may have played a role that the overall economic production capacities were, as already mentioned, less than "normally" utilized in recent years for economic reasons. But even if cyclical fluctuations in economic activity are eliminated, there will be a significant slowdown in productivity growth in the medium term; The "cyclically adjusted" productivity progress - i.e. possible with more favorable capacity utilization - was estimated to be one percentage point lower in 1978 than in the early 1970s and almost 1,112 percentage points lower than in the 1960s. The main effect here is that "productive" investments, particularly private net investments (excluding housing construction), continue to be lower than before in comparison to the national product.

On the other hand, the goods producing industry is a traditional area. . and changes with great opportunities for rationalization and correspondingly high productivity - in the context of the overall economy in recent years the expansion of production has been more inhibited than other areas of the economy. The higher valuation of the German mark since the end of 1972 increased competition with foreign suppliers both domestically and in export markets. Furthermore, temporary sharp increases in wage costs shifted the overall economic income ratio to the detriment of companies, without the labor input being fully adapted to the changed cost structures. Structural shifts were inevitable under these conditions; They found expression in the fact that the share of the goods-producing industry in real gross domestic product has declined in the medium term. In contrast, especially the service sectors, which are generally less exposed to international competition, and the state in its capacity as a service producer have gained relative ground in terms of their added value and employment over the same period. In these areas, however, the opportunities for rationalization are not as great as in industry; accordingly, they have only made modest progress in productivity. Since this trend is likely to continue in the long term, or at least not be reversed, it is also unlikely that

4 Production potential and national product billion DM r-----,-----,-----,-----, log. Scale 420 Gross domestic product in 1970 prices 400 Semi-annually
-+-----1-----{-----:~""-----';~-----} ..

70 8 4 0 105 1) Own calculation.-2) Potential value ~100.

apparently. that overall economic productivity progress (measured per hour worked) will return to its previous pace in the medium term. This should by no means only be viewed negatively. On the contrary, it opens up the possibility of getting closer to the full employment goal even if overall economic growth is lower than in previous years. This began to become apparent last year. A very strong increase in the level of employment was achieved, although - as mentioned - the real gross national product "only" increased by 31f20/o, while many longer-term forecasts, which are based too schematically on the past, to this day assume that there will only be an increase in employment, which at the same time leads to a reduction in unemployment, if the annual real growth of the national product in the Federal Republic is more than 40/o.

Overall, the situation on the labor market improved during 1978. Improvement in the 5 After the cyclical labor market situation still existing in companies.

reserves - among others in the form of short-time work - were largely exhausted, the demand for additional workers increased noticeably. Overall, the annual average number of dependent employees in 1978 was around 140,000 higher than in the previous year. Nevertheless, on average last year there were still just under a million unemployed registered at the employment exchanges, 37,000 fewer than the average high unemployment of the previous year. At the end of 1978, the unemployment rate - measured by the number of employed persons (as is usual in official German statistics) - was 4.1 percent, seasonally adjusted. If one assumes - following international practice - the number of all employed people (which seems justified insofar as the unemployed also include formerly self-employed people), the unemployment rate at the same time was 3.7 thousand. After the severe winter weather subsided, the seasonally adjusted unemployment rate fell to 3.9 o/o and 3.5 o/o respectively in March.

It is now becoming increasingly clear that the economic improvement is having a positive impact on the labor market. Structural influences, but the structural problems of unemployment are only slowly becoming more and more clearly reduced. Since the recession from 1975 to 1978 - calculated on an annual average - the number of unemployed men registered with the employment exchanges has fallen by around 134,000 people or a good fifth, although the opportunities to find a job have improved, particularly for those aged 20 to 59, but also for young workers (under 20 years of age).

At the same time, however, the number of women registered as unemployed increased sharply (by around 52,000) from 1975 to 1978 because, on the one hand, there was a great inclination among women to work, and on the other hand, the economy's demand for female workers did not keep pace with the increased supply. This makes it more difficult to place unemployed women (around 475,000 at the end of September 1978). that one in three said they were only interested in part-time work; 90 of all women also described themselves as being the only ones capable of being employed in their home region, which inevitably keeps the unemployment rate high in districts with an unfavorable economic structure.

Another symptom of structural shifts in the labor market is the fact that some companies are finding it increasingly difficult to find suitable skilled workers and, in some cases, unskilled workers, despite the high number of registered unemployed people. This is particularly true for many farms in the sow economy; In the past few years of weak construction activity, they have released numerous workers who are now urgently needed. Parts of the manufacturing industry and some service sectors (e.g. the hotel and restaurant industry) also had considerable problems covering their personnel needs last year. Added to this are the regional differences in the extent of the economic recovery. While in 1978 there was practically full employment in large parts of southern Germany, above-average unemployment rates were recorded in the north and west, but also in the southwest of the Federal Republic.

There is much to suggest that the Federal Republic has come closer to the goal of a high level of employment in the labor reserves in the past year, as can be seen from some calculations, which often overestimate the amount of unused workforce potential. It is certainly rightly assumed that there are people - especially women - who are not registered as unemployed, but who would nevertheless accept work if it were offered in the desired region and under conditions that they consider acceptable.

But it is also known - although it cannot be adequately proven numerically. that some workers (e.g. those who are about to claim their old-age pension) are practically not eligible for placement during the period in which they are registered as unemployed. Estimates vary widely regarding the extent of the so-called "hidden" reserve of workers - which could be integrated into the employment process in addition to the registered unemployed.

One can be encouraged to exaggerate the size of the labor force that may still need to be mobilized, especially if it is assumed that the increasing participation of women of working age would continue with the same trend as was the case when the labor market was overwhelmed in the early 1970s. Not least the fact that the economic upswing last year so quickly caused staff shortages in some areas of the economy.

6, which could not be overcome either by placing unemployed people or by employing people from the so-called "hidden" reserve, speaks against this concept. Economic growth, as would be necessary to mobilize the "hidden" reserve determined using this estimation method, would, if it could be realized at all, lead to new excessive demands on the labor market with all the negative side effects.

Investments The most important driving force of the economic upswing became private investment activity in the course of last year. In 1978, companies (excluding the housing industry) increased 101/20% more in equipment and buildings during the upswing than in the previous year; Calculated in constant prices, this corresponded to an increase of 7%.

The survey results from the Ifo Institute from the summer of... J. about the industry's investment plans had shown a significantly increased willingness to invest. with a focus on manufacturers of capital goods and the construction industry. The considerable increase in domestic orders from the capital goods industries since then as well as the persistently high imports of capital goods indicate that these plans are now being implemented quickly. From today's perspective, lively investment activity in the economy can also be expected in 1979.

Advancement of expansion It is particularly noteworthy that among the investment motives, investment in plant expansion has regained ground over plant renewal and rationalization. Last but not least, this has resulted in the commercial economy spending considerably more on construction work last year than in 1977, without which plant expansions are often not possible. Furthermore, as a result of the long-standing reluctance to invest, a considerable need for innovation has accumulated in parts of the economy, which is now pressing for implementation. After all, quite a few recent investments have probably been triggered by new production technologies or increased environmental protection requirements.

Increased investment The decisive impetus for the increase in the willingness to invest was that the willingness to invest noticeably improved in the past year due to the companies' earnings situation. At the same time, the fiscal policy decisions of the last few years also brought about improved returns and, in addition to the labor of cheaper financing recipients, also certain tax reliefs for companies, which will be followed by further conditions at the beginning of 1980. This tended to expand the scope for self-financing, which had already increased noticeably in recent years - albeit at that time due to relatively weak investment activity. According to initial preliminary calculations, the companies (excluding the housing industry and without financing institutions) are likely to have financed their - as mentioned, greatly increased - investment expenditure last year largely from their own resources (depreciation, undisclosed profits, investment subsidies from other sectors) (at 99%); in 1977 this self-financing rate was considerably lower²). Overall, companies' investment expenditure last year only exceeded the simultaneous amount of self-financing resources by DM 2 billion (compared to DM 20 billion in 1977). Another positive effect on the investment climate was that the necessary external financing was available in abundance and could be obtained at favorable interest rates. Both contributed to putting investment activity on a solid basis. The question is whether the economic upswing is now self-sustaining? has to be used especially at this point. From a historical perspective, the conditions for this are currently good: growing sales, increasing earnings and a consolidation of the previously e.g. The companies' financial circumstances are sometimes quite tense. It fits into this picture that sales and profit expectations have become more favorable overall, although certain risks in foreign business cannot be overlooked. It is true that the improvement in investment conditions did not happen without the help of the state - tax cuts and expansion of the state's demand for goods and services; However, from today's perspective, further economic policy measures do not appear to be necessary; On the contrary, it is now possible and to a certain extent necessary to leave economic development more to private sector decisions again.

¹ See comments on p. 13ff.

² For further details see the monthly reports of the Deutsche Bundesbank. Volume 31, No. 3, March 1979, p. 20f.

7: Basic data on economic development in the Federal Republic of Germany ~971 year 1n D/o + 7 0 6.4 + 5 7 + 6.6 + 7 4 + 11 0 + 10 2 t 10.5 + 5 7 I 11 3 + 6, 7 7.1 i + 5, 6 + 5.4 t 6 5 + 3.9 gross national product in current prices Billion DM 1033.9 1121.7 1193.7 1282.6 + 4.8 + 8.5 I + 6, 4 + 7.4 Information: I VAeurftarabsiedeinngdaenng G 1emw erbe 1970~ 100 135.9 154.7 156.1 164.0 - 2.2 + 13.8 + 0. 9 + - 5.1! from within the country 1970~ 100 127.9 139.5 142.5 150.3 + 2.6 + 9.1 + 2.1 5.5 from abroad !1970~ 100 162.2 204.5 199.6 208.9 - 12.2 + 26.1 - 2. 4 + 4.6 Order intake in the main construction industry in 1971 ~ 100 96.2 90.3 104.4 128.6 + 6.9 - 6.2 t 15. 6 + 23.2 Production gross national product in prices of 1970 billion DM 751.5 789.8 810.0 837.3 1, 9' t 5.1 + 2. 6 + 3.4 Product vitality 2) 1970~ 100 122.1 127.9 132.5 137.5 + 3. 0 t 4.8 + 3 6 + 3.8 Production in the manufacturing I industry (excluding the main construction industry I 1970~ 100 105.0 112.7 116.0 118.7 5, 7 t 7.3 + 2 9 2.3 Production in the main construction industry 1970~ 100 92.4 95.2 95.2 102.4 11, 2 t 3.0 0 7.6 Employment Employed million 25.3 25.1 25.0 25.1 3, 4 - 0.9 - 0, 2 + 0.2 Dependent employees million 21 .4 21.3 21.3 21.5 3, 5 - 0.5 + 0, 3 0.7 Foreign employees million 2.1 1.9 1.9 s)- 11. 5 - 6.6 - 2, 7 Information: I Work volume 3) 1970 ~ 100 90.6 90.8 90.1 89.5 4, 9 0.2 - 0, 8: 0.7 Unemployed thousand 1074 1060 1030 993 + 84, 4 -- 1.3 - 2, 91 3.6 Unemployment rate 4) Ofo 4.7 4.6 4.5 4.3 I I Prices Price index of the national product 137.6 142.0, 147.4 153.2 + 6. 7 + 3.2 + 3. 81 3.9 Information: sl Labor costs per product unit 1n of the overall economy 5) 144.2 146.6 152.2 155.3 + 6. 1 + 1.7 I 3. ,,:l 2.1 aPIrleeris pinridveaxte fnü rH da1ue sLheablteen shalt 1970 ~ 100 134.7 140.8 146.3 150.1 + 6. 0 + 4.5 - 3 ~I 26 ' Producer prices of industrial products 1970 ~ 100 135.5 140.7 144.5 146.3 + 4 7 + 3.9 -- 2. 1 3 : Overall economic construction price level 1970 ~ 100 133.7 137.8 143.9 152.6 + 2. 4 I 3.1 4. 4 + 60 Producer prices of agricultural products 133.2 149.0 142.3] p)137.0 + 13. 3 t 11.9 - 4._')_ p) - 3.7 II L,_ ____ ----1 Balance of the goods and services sector o;o of the dependent workforce. the national accounts returns with foreign countries (including the GDR) - 5 quotient from the index of gross income are provisional from 1976 - p provisional. s Ge 2 Gross domestic product in Pre1sen from 1970 per men from dependent work per employed estimates.

hour worked. - 3 total number of hours worked and the index of the real gross national income. - 4 job loducts per employed person. - The information

8 Investment demand seasonally adjusted, log. Scale - moving 180 monthly -----+-----1 140 120-----t-----l 110 1-----"IL---+)---% + 10
0 Order intake in the main construction industry (4) ~1_97_1_ = 1_00_ _____ ~ ~-----r-----1100 90 40 30% change compared to previous year lin. scale + 5
0 L-t-----+-----~ 5 -----~-----1-10 1975 1976 1979 1) The length of the moving average (in months) is in Brackets indicated on the respective
curve.- +)The course of the moving average is influenced by special factors in June 1975 in the particularly marked part of the curve.-0) Influenced by large orders.

Very strong impulses came from residential construction last year. A total of 10,120/o more was spent on residential buildings in 1978 than in the previous year, with housing construction playing an important investment role in addition to the construction of new apartments and the modernization of old buildings. Government support measures and favorable financing conditions - mortgage loans on residential properties were temporarily available for 6 Ofo p in 1978. a. Having an effective interest rate, the lowest rate since the end of the 1960s - as well as a certain concern about new construction price increases have caused demand for construction services to rise sharply. In 1978, the construction industry received around a third more orders for residential buildings, and the number of apartments approved for construction was around a fifth higher than the previous year. Although the number of completed apartments in 1978 did not reach the previous year's level (-100/o), this is due to, among other things, because production in the first months and towards the end of B.C. J. was relatively severely hindered by weather conditions and during the rest of the year increased production was increasingly hindered by capacity bottlenecks; The number of apartments under construction has therefore increased significantly. Public budgets also commissioned a significant amount of construction work in 1978. As explained on page 16, the local authorities awarded contracts relatively quickly last year, especially from the program for future investments. Overall, demand for construction expanded far more than production in the construction industry could be expanded, so that order backlogs in the construction industry increased significantly.

Last year, private consumption demand from private households again provided important economic stimulus. Private consumer spending in 1978 continued to exceed the previous year's level by 61/20/o. Compared to 1977 (70/o), the consumption expansion has weakened in nominal terms, but not in real terms. With price increases decreasing, real private consumption in 1978 rose by 40/o (against 30/o in 1977) above the previous year's level. The expansion in consumption was driven by the sustained strong increase in disposable income. It is true that average earnings grew significantly more slowly in 1978 than in the previous year. However, this was offset by the fact that, as already mentioned, the number of employees has increased. Employees also benefited from the tax relief that came into effect at the beginning of 1978. The total net income from employed work therefore grew quite strongly in 1978, namely by 61/20/o. In 1978, households had around 60% more resources available from pensions, pensions and benefits than in the previous year; Here the postponement of the pension adjustment (from July 1, 1978 to January 1, 1979) had a dampening effect on income expansion. Including the private withdrawals of the self-employed and the financial investment income of all private households - which declined slightly compared to the previous year - the total disposable income in 1978 is likely to be approximately parallel to private consumption, i.e. h. around 61120/o. Accordingly, the savings rate remained practically unchanged last year at a good 131/20/0 of disposable income¹).

The fact that income distribution shifted in favor of companies last year contributed significantly to the dynamics of domestic demand, in particular to the renewed advance of investment. With an increase in national income in favor of businesses by 71/20/o, gross income from entrepreneurial activity and property income increased by 11/20/o. Their share of national income increased to 29 Ofo in 1978, which - if one excludes the changes in the employment structure that have occurred in recent years - roughly corresponds to the share of this income at the beginning of the 1970s. Despite the numerous vagueness that characterizes this information²), it can be concluded from this that on the earnings side last year, on the whole, companies regained ground that they had previously lost in years of strong profit compression. On the importance of the cheaper Er-1 The savings rate of private households determined here is, for methodological reasons, around one percentage point higher than that published by the Federal Statistical Office. The reason for this is the different treatment of employees' claims from company pension commitments. The Federal Statistical Office also sees the increase in these claims as part of the formation of financial assets, but does not consider this process within the scope of savings from disposable income, but rather as a transfer of assets from companies to private households.

² The income from entrepreneurial activity and assets is a very heterogeneous quantity that, in addition to the profit income from business and commerce, etc. also agricultural income. the housing industry. of the freelance professions. the credit institutions and insurance companies as well as the federal railways and the federal postal service. It also excludes the income of all private households from their financial assets m1t em.

10 Income development | 1 financial situation as a stimulus for investment activity has already been pointed out in another context. It is to be estimated all the higher because the improvement in earnings did not essentially come about as a result of sharply rising sales prices (and thus at the expense of other social groups), but rather as a result of a combination of positive developments on the cost side. The appreciation of the German mark and the favorable world market prices for raw materials led to a noticeable reduction in companies' purchasing costs for imports. On the other hand, in 1978 the collective bargaining partners agreed on significantly lower collective wage increases than in the previous year, the effect of which on unit costs was also mitigated by an increase in productivity of approximately the same magnitude as in the previous year.

Nevertheless, despite the improvement in company earnings, employees did not have to forego an increase in the real fair share of the increase in overall economic output, quite the opposite. It is true that gross income from employment grew last year, at 6 percent, significantly less than income from entrepreneurial activity and assets; With a simultaneous reduction in consumer price increases, this corresponded to a price-adjusted increase in wages and salaries of at least 3.0%. Benefited by the reduction in wage tax, real net income from employed work even increased by 4% last year. That was the strongest increase since 1971. This was made possible not least because consumers also benefited from the relatively inexpensive purchases of goods from abroad; In this respect, the above-mentioned positive development of the distribution relations was partly due to an influence that will probably not be repeated, and in fact a rather opposite development can already be expected in 1979. But even if this special influence is taken into account for 1978, the increase in real employee incomes last year can be seen as an encouraging signal of the success of a strategy that relies on the employment effect of a wage policy that is appropriate for the economy as a whole and at the same time achieves a strengthening of real mass purchasing power. The insight into these connections, which the discussion between the Council of Experts for the Assessment of Overall Economic Development and other representatives of science also contributed to the dissemination of, has now apparently grown. After initially tough collective bargaining disputes in the steel industry at the beginning of this year's wage round, the collective bargaining partners in metal processing have agreed on agreements which - including all ancillary agreements - lead to an increase in collectively agreed hourly earnings by around 5% and thus appear to be largely appropriate to the situation in the relevant sectors of the economy. Other collective bargaining areas in industry and the public sector followed with collective bargaining agreements of a similar magnitude. Further economic development will be positively influenced by the collective bargaining partners' sense of overall economic responsibility, which became clear in the collective bargaining.

Not very dynamic Over the course of 1978, foreign business once again provided some stimulus to the domestic economy - after a very hesitant start to exports in the first few months - although foreign demand, on the whole, was significantly lower in 1978.

had a larger share in the economic recovery than in comparable previous economic phases. The reason for the improvement in export business in the second half of the year was that the economic picture in the most important European partner countries began to brighten somewhat. Towards the end of the year, this was reflected in a significant increase in foreign orders from export companies. In the annual result, foreign orders from the manufacturing sector were 4 1/20/o above the previous year's level in terms of value and almost 31/20/o in terms of volume. According to surveys conducted by the Ifo Institute, companies around the turn of the year 1978/79 were also more optimistic about their future foreign business than they were in the middle of 1978. J. However, their expectations were dampened by the new uncertainties related to political developments in Iran. Among other things Due to the conditions made more difficult by the higher value of the German mark, German exports were not able to fully maintain their share of world trade in 1978, with a real growth rate of 40/0, ??although the high quality standards of the products, the prompt ability to deliver and flexible adaptation to new market conditions compensated for some price disadvantages on the world markets.

However, the higher value of the German mark also meant that the competitive pressure from foreign suppliers on the domestic markets continued to increase in 1978. Real foreign imports of goods rose by 71,120/o last year, which is twice as much as the domestic gross national product (31/20/o). The share of goods imports in total domestic sales in the Federal Republic - calculated in 1976 prices - has now increased from 171 f20/o in 1970 to almost 24 ofo last year. The fact that there was no reduction in the surplus in the German trade balance despite the strong pull of imports last year is (as will be explained in more detail on page 20f.) a consequence of the noticeable decline in import prices - due to revaluation - so that the value of imports increased less than that of exports.

However, the basic trend of real foreign trade flows is clearly towards a reduction in trade surpluses. In 1978, the price-adjusted surplus in the Federal Republic's trade in goods and services with foreign countries in the national accounts (and on the 1970 price basis) fell to DM 23 billion, compared to DM 26,112 billion a year earlier. Since import prices have risen sharply since the turn of the year (also faster than export prices), this trend is likely to soon be reflected in a decrease in the nominal value of surpluses in trade in goods and services.

Price inflation in the Federal Republic slowed down again significantly in 1978, after noticeable progress had already been achieved in previous years towards greater price stability. The sustained upward trend of the German mark once again played a significant role in this development in 1978. It enabled importers to compete with domestic suppliers on domestic markets with a range of inexpensive goods. Imported goods for the commercial sector were once again cheaper than in the previous year. Under the pressure of increasing foreign competition for finished goods and relieved by inexpensive imports of raw materials and intermediate products, the increase in industrial producer prices in domestic sales was kept within narrow limits for large parts of last year. With an increase in the price of industrial products by - as mentioned - only 1.3 Ofo on average for the year in 1978, the lowest rate of increase was achieved in the last ten years.

The persistently favorable price development for agricultural products made a significant contribution to dampening the price increase in the past year. Abundant harvests of agricultural plant foods and a wide range of animal products were available.

agricultural sales prices are declining almost constantly; The average for 1978 was a good 31/20/o below the previous year's level. In the longer term - over a period of ten years - the prices of agricultural products at the producer level have risen by 3% per year, while those of industrial products have risen by 4 1/20/0 per year. The price-dampening influence of agricultural products was also noticeable at the consumer level. The annual average price increases for foodstuffs in 1978 were no more than 1 Ofo compared to the previous year. The remaining consumer prices have increased by around 3 Ofo price suppression on the ben, so that the price index for the standard of living as a whole rose by an annual average of 2.6 Ofo. This was the lowest increase in the price of private consumption since the end of the year

12 Prices 1970=100, seasonally adjusted % -5 160 0 150 -5 150 +5 140 0 160 150 +5 140 0 160 ~5 150 0 140 -5 130 150 +5 140 0 1976 1977 1978 1979 77 1) Own calculation.

sixties. The progress made last year in reducing the inflation rate is all the greater because at the beginning of 1978 the VAT rate was increased by 1 and 112 percentage points (to 120/o and 60/o, respectively). This additional fiscal burden could not be fully passed on for industrial goods and agricultural products because of the intense competition on the markets. On the other hand, relatively strong price increases were recorded in the services sector, where price competition with foreign countries hardly plays a role; The annual average inflation rate here was just under 4 Ofo.

Increased price increases There were strong price increases in the construction industry in the course of 1978. The increase in VAT at the beginning of the year only played a relatively small part in this; The decisive factors were, on the one hand, the persistently strong demand and, on the other hand, a supply that was partially reaching its capacity limits.

The entire construction price level, which summarizes the price development for civil engineering services, for commercial office and company buildings as well as for residential construction

The annual average for 1978 exceeded the previous year's level by no less than 60/o, 13 although the price increase may have varied in intensity in individual regions. In road construction alone, prices were up in the fourth quarter of 2019. J. around approx.

71,120/o higher than a year before. The improvement in the caste-revenue ratio brought about by these price corrections may of course have enabled some construction companies to strengthen their often quite weak equity base.

At the turn of the year 1978/79 there were signs of a turnaround in the unfavorable price development in individual areas. Uncertainties about oil supplies following the political price influences on developments in Iran as well as a long, harsh winter caused energy demand to rise more sustainably at the beginning of 1979 than before; There were also strong price increases on some international raw material markets. The increased inflationary tendencies in important industrial countries are also causing concern, among other things. show that in these countries the inflation rate at the consumer level was around 81/20/0 compared to around 30/0 in the Federal Republic; The gap has therefore increased to almost 6 percentage points compared to a good 4 percentage points twelve months earlier. The repercussions on domestic price levels were inevitable. Domestic producer prices began to move upwards, especially for import-dependent products. In addition, at the consumer level, the so-called administered prices for postal, broadcasting and motor vehicle liability services have been increased significantly. Furthermore, as a result of the ongoing winter weather, food prices have become more expensive than is usual for the season. The increase in the price index for the cost of living therefore accelerated noticeably in the first months of 1979, and the year-on-year difference widened until March of that year. J. to over 30/o. However, internal cost developments, especially wage costs, largely failed to provide any impetus for increased price increases after the social partners - as mentioned - agreed at the beginning of the year. J. have mostly agreed on relatively moderate collective wage increases. Nevertheless, it will require vigilance and the joint effort of all those directly or indirectly involved in the price formation process in order to continue to hold back the price increase trends and to preserve the progress in stability achieved so far.

2. Further economic stimulus from public budgets The strengthening of private consumption and investment demand was supported in 1978 by financial policy growth, although the decisive economic impulses did not come from here alone. The course for the fiscal policy course of the last year - through tax relief - had already been set in the course of 1977, when public budgets increasingly switched to expansion in view of the economic weakness at the time, with priority being given to tax relief in order to create - also in the medium term - more favorable framework conditions for economic growth driven primarily by the private sector. It was already pointed out in our annual report for 1977 that the measures taken at that time began to have a positive influence on the economic climate in the same year, even if they had little impact on cash receipts and expenditure; In this respect, the relatively strong decline in deficits, which was also concentrated in the first half of 1977, gives a skewed picture of the economic effects of public budgets in 1977. The tax amendment law passed in the summer of 1977 brought relief in direct taxes and improvements in child benefit that were designed under growth policy aspects at the beginning of 1978 and at the same time limited the long-intended tax VAT increase to one (or half) percentage point, making this package of measures almost neutral in terms of revenue. The tax policy measures adopted in the fall of 1977 ?to promote economic growth and employment? were of greater importance. At the beginning of 1978, tax cuts came into force (in particular the increase in the basic allowance and the introduction of the so-called tariff allowance as well as the improved tax consideration of pension expenditure), which primarily increased the disposable income of private households and thus tended to support private consumption. In addition to the above-mentioned tax cuts, which mainly benefited employees, there were also special tax reliefs for companies, in particular the expansion of depreciation options and the reduction of property tax rates. Overall, the tax measures adopted in the course of 1977 led to a loss of revenue for local authorities in 1978 of the order of magnitude

14 IEconomic Policy Chronicle ~~~ ~~~~~, ~~~~~_, 1978 I. Monetary and Currency Policy January 4th The Federal Bank grants the US Treasury a credit line that can be drawn upon for the purposes of intervention in the dollar market. This credit line is in addition to the existing swap agreement between the Bundesbank and the Federal Reserve System.

January 19th From March 1st, credit institutions can count domestic legal tender towards the minimum reserve, with the previous secondary location privilege no longer being applicable. To compensate for the relief associated with cash accounting, the minimum reserve ratios for liabilities to residents will be increased by 8%.

February 10th The Norwegian krone is devalued by 8 Ofo in the European Exchange Rate Association with effect from February 13th.

March 10th The Bundesbank purchases commercial bills again (until June 16th) to support the money market with an agreed repurchase after 10 days (interest rate 31/40/o).

March 13 The Bundesbank and the Federal Reserve System agree to increase their existing mutual swap credit line by \$2 billion to \$4 billion. At the same time, the American Treasury is planning to sell 600 million special drawing rights to the Bundesbank to procure German marks.

May 18 The reserve ratios for foreign liabilities will be reduced effective June 1 and aligned with the lower rates for domestic liabilities. At the same time, the growth reserve for foreign liabilities will be canceled. In addition, the rates for domestic and foreign liabilities will be reduced linearly by 70/o. These measures will release liquidity amounting to around DM 4,112 billion.

June 1st The Bundesbank reviews its money supply target for 1978. It announces that the original target can no longer be met and explains the reasons for the expected target being exceeded June 29th The rediscount quotas of the credit institutions are increased by DM 3 billion from July 1st. At the same time, the measurement of the quotas will be linked more closely than before to the amount of bills of exchange held by the individual credit institutions in order to enable better utilization of the quotas.

6th/7th July At its meeting in Bremen, the European Council discusses a system for closer monetary policy cooperation with the aim of a stable monetary zone in Europe (European Monetary System I October 15th With effect from October 16th, the exchange rates in the European Exchange Rate Association will be adjusted: the German mark will be revalued by 4ofo and the Dutch guilder and the Belgian franc by 2ofo each.

October 19th The minimum reserve ratios for domestic and foreign liabilities of credit institutions will be increased by 9d/o from November 1st (liquidity tie-up of around DM 4,112 billion).

November 1st The USA announces a comprehensive program to support the dollar and restore order to the foreign exchange market. The package of measures includes, among other things: proposes that the USA obtain Deutsche Marks through an IMF draw and the sale of special drawing rights to the Bundesbank as well as through taking out DM loans on the German capital market. In addition, the Bundesbank and the Federal Reserve System agree to further increase the mutual swap credit line by \$2 billion to \$6 billion.

December 5th The European Council decides to establish a European Monetary System (EMS). The provisions of the EMS are expected to come into force at the beginning of 1979 and to be incorporated into a final system after a start-up period of two years. (However, due to differences in agricultural policy regarding the issue of border adjustment in the EC, the EMS will not come into force as planned on January 1, 1979.) December 6 As part of its dollar support program, the USA takes out promissory note loans denominated in German marks amounting to DM 3 billion on the German capital market for the first time. (They took out additional DM promissory note loans totaling DM 2,112 billion on the German market in February 1979.) December 12th The Norwegian krone leaves the European Exchange Rate Association.

December 14th The Bundesbank also announces a money supply target for 1979. According to this, the expansion of the central bank money supply from the fourth quarter of 1978 to the fourth quarter of 1979 should be kept within a range of 6 to 90/o. The extent to which the scope between the lower and upper limits of the range is filled by monetary policy depends on further economic and foreign trade developments.

With effect from January 1, 1979, the credit institutions' rediscount quotas will be reduced by around DM 5 billion.

1979 January 1st The International Monetary Fund resumes the allocations of new special drawing rights (SDRs) (last made in 1972). In a first tranche, a total of around 4 billion I _ _ _ I SDR will be allocated. of which the Federal Republic will receive 224 million SDRs (equivalent to 534 million DM). Further allocations of 4 billion SDRs each are to follow in 1980 and 1981.

15 January 18th With effect from January 19th, the Bundesbank's lombard rate will be increased from 31,120/o to 40/o. In addition, the minimum reserve ratios for domestic and foreign liabilities of credit institutions will be increased by 5% from February 1st.

March 13th The European Monetary System comes into force.

March 29th The Bundesbank decides to increase the discount rate from 30;o to 40;o and the Lombard rate from 40/o to 50/o with effect from March 30th. In addition, with effect from April 1, the credit institutions' rediscount quotas will be increased by DM 5 billion.

1978 II. Economic and financial policy January 1st The Tax Amendment Act 1977 and important parts of the law on tax relief and investment promotion come into force. The measures include increasing the basic allowance and introducing a tariff allowance for income tax. Tax relief on wealth and trade tax as well as improvements in child benefit. On the other hand, the VAT rate will be increased to 12 0/o or 6 0/o. On balance, these measures will result in a budget burden of around DM 10 billion for 1978.

January 26th The federal government states in its annual economic report that the central problem for 1978 is securing a self-sustaining economy. sustainable economic recovery remains. This is a crucial prerequisite for the creation of sufficient employment opportunities and thus for a gradual reduction in unemployment. Investments play a key role in this, strengthening them, among other things. Limiting cost and price developments and improving the company's earnings situation are necessary prerequisites. Taking into account the initial situation at the beginning of 1978, the federal government believes that real economic growth of around 31f20/o on an annual average is achievable.

January 27th The Bundestag passes the 1978 federal budget with a volume of 1,881/2 billion DM and a financing deficit of 31 billion DM.

March 8th The federal government decides on measures to consolidate pension finances. The pension increase is limited to 41/20/o for 1979 and to 40/o for the following two years. In 1981 the contribution rate was increased by 112 percentage points.

June 14th The Bundestag passes a supplementary budget with expenditure of DM 0.9 billion (mainly to promote the mining sector), which is fully covered by savings elsewhere.

June 22nd The Bundestag passes the amendment to the Housing Modernization Act, which comes into force on July 1st, 1978 (energy saving program with a volume of DM 4.35 billion). Afterwards, heating energy-saving investments are supported through subsidies or tax breaks.

July 17th As part of the Banner Economic Summit, the German delegation announces measures of up to 10/0 of the social product as a contribution to warding off global disruptions to the economic balance.

July 28th In order to realize the commitment made at the Bonn economic summit, the federal government decides on tax relief for income tax and trade tax, improvements in child benefit and other expenditure-related measures, most of which are to take effect in 1979 and in some cases not until 1980. To limit the budgetary burden. The VAT rate is to be increased by 1 or 1!2 percentage points from July 1, 1979.

At the same time, the federal government approves the draft budget for 1979 with a volume of DM 204,112 billion and a financing deficit of DM 36 billion.

November 17th After agreement in the mediation committee, the Bundestag passes the package of tax relief and additional spending. Compared to the draft, child benefit payments for second children in particular will be increased six months earlier and the trade tax regulations will be modified (although additional relief will be provided from 1981). The budget burden from the package of measures is estimated at DM 131/2 billion for 1979 and DM 15 billion for 1980.

November 23rd The Council of Experts for the Assessment of Overall Economic Development states in its annual report that there has been a significant improvement in the economic climate. He sees no further need for economic policy action beyond the measures already decided. He emphasizes the necessity. to consolidate public budgets in the medium term ?with a sense of proportion?. The Council supports the continuation of a wage policy that aims to gradually correct the cost level in small steps.

1979 January 24th The federal government presents the 1979 annual economic report. She sees the central economic policy problem as the gradual increase in the number of employees while at the same time avoiding new threats of inflation. There are reasonable prospects for further gradual progress this year. However, this requires that there are no major disruptions in foreign trade and that distribution policy decisions are based on overall economic requirements. Under these conditions, the federal government considers real economic growth of around 40% on an annual average to be achievable in 1979.

January 26th The Bundestag passes the 1979 federal budget with a volume of DM 204 billion and a financing deficit of almost DM 32 billion.

February 14th The federal government decides on a program to support start-ups.

16 Financial development of local authorities Mm~r-----,-----, soo log. Scale -----+-----+-----1 lin. Scale increase in% %
r-----; .. r-----1-----=-----=ir-----j 15 ;:.. 5 0% billion 4 2 0 20 0 1976 1977 197815) 1)Ab 1974 see. Special-purpose associations.-ts) In some cases an
estimate of almost 10 billion DM. Private income also benefited from the increase in child benefit from the second child onwards, which put an additional burden on public
coffers with 13/4 billion DM in 1978. The additional demand developed by the local authorities themselves was of lesser importance compared to the measures mentioned
above, even if it also had a significant impact on economic activity. The focus here was on accelerating the implementation of state investment projects within the framework
of the program for future investments - which is basically designed for the medium term; In some cases, it also supported private investment projects. In 1978, orders worth
a further 6 to 7 billion DM were awarded from this program alone. Overall, the local authorities awarded 23 o/o more construction contracts in the past year than in 1977,
during which they had already significantly increased the number of contracts they awarded.

At the end of July 1978, the federal government decided - in accordance with the agreements at the Improved Economy 17 of the Conference of Heads of Government of the seven large industrialized countries ("world economic climate through further economic summits") - a further package of measures "to strengthen demand and to improve economic growth by reducing taxes", which was then expanded somewhat in the parliamentary deliberations. The main emphasis was again on tax relief; They primarily benefit employees, especially the further increase in the basic allowance and the elimination of the "tariff jump" at the beginning of 1979. In addition, further relief for companies in trade taxes is planned from 1980. The new tax losses are to be partially compensated for by a further increase in VAT from the middle of 1979. Tax policy has thus taken a further step in the direction of shifting the weight within the tax system back a little more from direct taxes - whose share of total revenue had increased significantly by 1977 - to indirect taxes in order to alleviate the burdens resulting from tax progression and in this way to make the tax system more "performance-friendly" again. On the expenditure side, child benefit was increased again, along with a few other social policy measures. Improvements included, in particular, increased support for innovation and investment in the commercial economy. This program, which - as mentioned - was designed in July 1978 on the basis of the unfavorable economic data up to May, had a positive influence on the economic climate in the further course of 1978, although in cash terms it was only in 1979 - with an amount of a good 13 billion DM or around 1000 of that Gross social product - However, the resulting tendency to increase the deficit in 1979 will be counteracted by a number of factors, in particular the domestic economy, which has gained momentum again since the early summer of 1978, and which now allows income to flow somewhat more freely than previously assumed - a self-correction that is necessary both in terms of its cause (the economic upswing) and in terms of its medium-term effects (reduction new government debt) is to be viewed as desirable.

The cash development of the local authorities' budgets in 1978 was significantly influenced by the tax revenue measures that had already been initiated in the previous year. Under the influence of the extensive tax relief measures, despite unexpected ones, income increased by 71/20/o in 1978 and thus far less than in the two previous years of additional income (11% each). Nevertheless, revenue growth was stronger than expected at the beginning of the year. A good DM 7 billion more taxes were received than had been forecast in the official tax estimate from February 1978; Above all, this involved additional income from the taxes assessed on income. The assessed income tax (for natural persons) in 1978 yielded 5,112 ofo more than in the previous year, while at the beginning of the year it was assumed that the creditability of the tax paid in advance on dividends from corporations would have a greater impact and that income would therefore only increase slightly. Corporate tax revenue also grew surprisingly strongly at 18 o/o; On the one hand, quite large final payments were received for previous years, and on the other hand, the ongoing advance payments were also increased significantly over the course of the year due to earnings. The significant margin of error in forecasting assessment taxes that has emerged in recent years makes it difficult to assess the financial prospects of local authorities. This is partly due to the fact that the financial effects of changes in tax law can only be roughly estimated, especially when, like the corporate tax reform, it involves a system change for which there is no experience. In addition, as is often complained about, there is a lack of timely data on the status of the assessment and the adjustment of advance payments. In contrast to assessment taxes, the development of wage tax revenue in 1978 corresponded to the expectations expressed at the beginning of the year. As a result of the various relief measures, the volume here only grew by 11,120/o. Revenues from VAT increased very sharply (17 o/o); In addition to the tax rate increase by one (or half) percentage point - and thus by one eleventh - the favorable consumption situation and the sharp increase in expenditure on residential buildings and public investments had an impact¹).

¹ In contrast to commercial investments, public investments and, to a large extent, residential construction investments remain subject to VAT, as there is no input tax deduction here.

18 i 1 incl. Forwarding of the EC share to the acquisition. - 4 The differences between local authorities and social taxes. - 2 H1s are the cash balance of income and expenses and insurance. - 7 Proven by changed expenditure. while in the state the cash deficit is inflated due to special transaction practices -account of the national accounts. - 5 Determined from the change in p Preliminary. - ts Partially estimated.

tions the production of public investment financial assets. which some of the balance between differences in the totals is waived by rounding. - 3 expenses for investment figures for recorded income and expenses.

grants and loans to third parties and investments differs. - 6 After switching off the number

Overall, tax revenue grew by 61/2%; The economic tax rate 19 has therefore fallen slightly compared to its peak value (250/o) reached in 1977.

The expansionary course of fiscal policy was also reflected in stronger growth in spending. Spending by local authorities increased in 1978, primarily for 8%, after an increase of only 5% in each of the previous two years; However, investments increased by almost 2 percentage points (or DM 6 to 7 billion) less than had been expected based on the budget planning. The accelerated expansion of expenditure was largely due to developments in the investment sector. Expenditure on material investments (especially buildings) increased by around 90% in 1978, after declining in 1976 and remaining stagnant in 1977. Of course, they still rose far less than planned. However, the decisive factor here was not an unplanned reluctance on the part of local authorities. In fact, the federal government, states and municipalities have done everything they can to accelerate their investment activity, as shown in particular by the large volume of construction contracts awarded. However, in the construction industry - at the same time as private demand for construction services has risen sharply - the lack of qualified workers in particular has hampered the processing of orders. Nevertheless, public investments grew very strongly in terms of their nominal production value at 14 o/o. The outflow of cash resources was probably significantly behind, mainly because the projects were often only partially completed and therefore the final accounts were still outstanding. The tensions that have arisen on the construction market due to the accumulation of state and private demand - with their undesirable consequences for construction costs and prices - have shown that a stimulus policy by expanding state investments in the Federal Republic is only possible within narrow limits.

The move away from the previously consciously cautious spending policy was also noticeable in other budget areas. This applies to investment grants and loans as well as to military procurement and transfer expenditure. The greater increase in transfers was primarily due to the fact that child benefit and housing benefit had been increased at the beginning of 1978 and that the training support services, which had already been improved in the course of 1977, had their full effect for the first time.

In contrast, the increase in personnel expenses has slowed somewhat; Contrary to the long-term trend, at 60/0 it remained significantly behind the growth in total personnel expenses. The decisive factor for this was that the salaries per employee were increased less than in 1977. On the other hand, the hiring policy has relaxed; The number of people employed by local authorities, which had stagnated in 1977, rose noticeably again last year. It has been recommended by some quarters to significantly increase the number of staff in the public service as a contribution to solving the overall economic employment problems. This may be possible in individual professional sectors, although these new classifications would probably only make sense if there is a corresponding need. In other professional categories, it would be feared that additional staff to be taken on in the public service would be missing to a significant extent in areas in which there is already a great shortage of skilled workers.

Since the expenditure of the local authorities increased noticeably more strongly in 1978 than the income increased again in 1978, the deficit increased again (by DM 6 billion to DM 38,112 billion) after having been reduced considerably in the previous two years. When it comes to social insurance, however, 1978 was marked by financial consolidation. The main reasons for this were the postponement of the pension adjustment by half a year (from mid-1978 to the beginning of 1979) and the surprisingly strong contribution income. Overall, the social insurance deficit was halved and was now only DM 2,112 billion (the pension insurance alone, of course, had a noticeably higher deficit, but this was offset by surpluses, especially in the health insurance sector). As a result, the deficit in the overall public budget increased by a good DM 4 billion to DM 41 billion compared to 1977, which is less than had been expected at the beginning of 1978. If one looks at the overall economic result of 1978, which corresponds to the economic policy objectives,

20 clearly corresponded fully to real growth, the reduction in unemployment and price stability, it can be concluded from this that this - smaller than expected - expansion of the deficit was certainly sufficient. On the contrary, a larger increase in the deficit and net credit requirements could have worsened the financial conditions for strong economic growth driven primarily by the private sector. Despite the only moderate increase in new borrowing, certain tensions arose in the course of 1978 in the market for longer-term loans, in which private demand increased sharply. The smaller increase in deficits in 1978 also increased the chances of the budget consolidation necessary in the medium term after 1979. A further increase in the deficit is of course expected for 1979 itself as a result of the package of measures adopted last year. but this is likely to be lower than previously assumed. The stronger the economic upswing proves to be, the more appropriate it will be to use additional tax revenue to reduce deficits - particularly in the longer term.

3. Foreign trade under the sign of new currency unrest Foreign trade In the past year, the Federal Republic's foreign trade, as a whole, no longer contributed very little to strengthening the domestic economy; In any case, the previously important external impulses on the domestic economy were no longer as significant as in earlier upswing phases. The European partner countries were only hesitant in overcoming the economic weakness into which they had often fallen in 1977, so that the export opportunities for the German economy only gradually improved again. On the other hand, a comparatively muted increase in exports was offset by quite strong real import growth - supported by low import prices. Exports and imports were both significantly influenced by the appreciation trend of the Deutsche Mark. The ups and downs on the foreign exchange market - periods of balanced market conditions followed by temporary crises - were in themselves a source of uncertainty that had a noticeable impact on foreign trade.

The epicenter of these temporary shocks to the monetary system was the US dollar. Furthermore, the US balance of payments showed a significant, even growing, deficit, and despite some anti-inflation programs, inflationary tensions did not decrease, but instead increased. Foreign dollar investors therefore increasingly moved out of the main reserve currency into other, more stable currencies, in particular the German mark, the Swiss franc and the Japanese yen, with the result that these currencies appreciated far more strongly. than could be explained solely by economic factors, such as the differences between the respective inflation rates (see also Part II).

Excessive appreciation Despite considerable efforts by the monetary authorities to mitigate exchange rate fluctuations through increased competition in the foreign exchange markets, the weighted external value of the Deutsche Mark rose considerably in 1978; On an annual average, it was 61,120/o higher than the year before against the 23 most important trading partners¹). At times, the appreciation of the D-Mark even went well beyond the inflation differential between foreign countries and the Federal Republic. On average in 1978, the D-Mark (measured by the weighted average of the wholesale prices of thirteen industrial countries) appreciated in real terms by a further 21/20/o (after the real external value of the D-Mark had also increased by 21/2 Ofo in 1977). As a result, the German economy was exposed to increasing competition from foreign providers in all markets. Previous positions could often only be maintained with significant concessions. In any case, many German export companies were forced to reduce their DM sales prices abroad; Overall, export prices - measured in terms of export averages - were no higher than in 1977, while, in contrast, domestic sales prices continued to rise slightly. In contrast, imports fell sharply last year (according to the average values ??by 31f20Jo). The decisive factor for this was the strong nominal appreciation of the German mark, which had a particular impact on products quoted in dollars on the world market. This meant that at times even the world market prices, calculated in dollars, fell, as was the case for mineral oil until the autumn of 1978. This price, which was favorable for the domestic market, 1 Due to the change in the external value calculation to geometric averaging, the value deviates from earlier information. See also the monthly reports of the Deutsche Bundesbank. Volume 31, No. April 4, 1979.